

An asset class that is being considered for inclusion on your investment list must be “investable.” This means that there are low-cost marketable securities available that represent an asset class. Look for mutual funds that have low expense ratios and no redemption fees. An asset allocation strategy requires occasional rebalancing, and redemption fees would increase the cost to rebalance. I prefer index mutual funds and ETFs because they are low-fee and they track the indexes used to create the asset allocation. No-load actively managed mutual funds and inexpensive unit investment trusts (UITs) are acceptable substitutes in the absence of funds that track indexes.

The investment vehicle selected to represent an asset class or category in a portfolio should also provide enough diversification *within* the fund. Broad diversification within a fund ensures that the correlation between the investment vehicle and the asset-class category you studied is very high. For example, the correlation among most index funds that track a broad market of U.S. stocks is over +0.99. Accordingly, there are several index funds that are well suited to represent the total U.S. stock category.

Some asset-class categories are available only in expensive packaged products that are not well suited to individuals. These investments generally take the form of a limited partnership (LP). LPs typically have very high fees, illiquidity, tax inefficiency, loose regulation, and secretive holdings, and they are oversold by Wall Street brokers who say you are a very special investor. Stay away from tying up your money in high-cost illiquid investments unless you really know what you are doing. These products include hedge funds, private equity funds, venture capital funds, and fund-of-fund products. See [Chapter 10](#) for more information on “Alternative Investments.”

There are also asset-class categories that have no means of investment. For example, most people reading this book will not be trading museum-quality oil paintings by old masters. Consequently, it does not matter how they have performed except as a point of curiosity. Your time is better spent investigating asset classes that are investable.

THE GLOBAL FINANCIAL MARKETS

Asset allocation works best when the investments in a portfolio are fundamentally different from one another, have real expected rates of